

NBZ RESEARCH

RHEA Finance

Deep-Dive Fundamental Analysis Report

\$RHEA · NEAR's Chain-Abstracted DEX & Lending Hub (Merger of Ref + Burrow)

■ **RECENT SECURITY INCIDENT:** On April 16, 2026, Rhea Lend was exploited for ~\$18.4M via a slippage-protection flaw in its margin trading feature. ~\$9-10M has been recovered or frozen; lending contracts remain paused pending a fix and compensation plan. See Sections 10-11.

\$0.0111

Price (USD)

\$4.37M

Market Cap

\$11.10M

FDV

393.55M

Circ. Supply (RHEA)

#1218

CMC Rank

Blockchain Layer:

L1 — built natively on NEAR Protocol; extends chain-abstracted access to BTC, Base, Arbitrum, BSC, Ethereum and Solana

Protocol Type:

Multi-chain decentralized exchange (AMM/DEX) and over-collateralized lending protocol, unified under one chain-abstracted liquidity layer

Origin / Merger:

Formed February 2025 from the merger of Ref Finance (NEAR's original DEX, live since 2021) and Burrow Finance (NEAR's leading lending protocol)

Total Raised (disclosed):

\$5M (Ref Finance round, Mar 2022) plus additional undisclosed Burrow Finance funding — combined entity total not separately itemized

Website:

rhea.finance | guide.rhea.finance

Research by NBZ / NASIR

Institutional-style independent research. Data verified across multiple sources as of August 15, 2026.
Not financial advice.

01 PROJECT OVERVIEW

Field	Detail
Project Name	RHEA Finance (operating entity: Ref Finance Ltd)
Token Ticker	\$RHEA (merger/successor token to \$REF and \$BRRR)
Blockchain Layer	L1 — RHEA is built natively on NEAR Protocol, its own independent Layer-1 blockchain. Through NEAR's chain abstraction technology, RHEA extends access to Bitcoin, Base, Arbitrum, BSC, Ethereum and Solana without requiring users to bridge assets manually.
Built On	NEAR Protocol (native L1); "Built on NEAR" with chain-abstracted reach into external L1s and L2s including Bitcoin, Base (Ethereum L2), Arbitrum (Ethereum L2), BSC, Ethereum and Solana
Protocol Type	Multi-chain decentralized exchange (DEX/AMM) and over-collateralized lending protocol, unified as NEAR's primary chain-abstracted liquidity hub
Origin	Ref Finance: created by Illia Polosukhin (NEAR co-founder); first GitHub commit March 9, 2021; live since April 2021. Burrow Finance: NEAR's leading lending protocol, merged into Ref Finance in February 2025 to form RHEA Finance.
HQ / Entity	Operated by Ref Finance Ltd (per website copyright notice); NEAR-ecosystem-based, with Proximity Labs historically providing R&D; and NEAR Foundation grant support to Ref Finance
TGE / Listing Date	July 30, 2025 — first NEAR Protocol project to receive a Binance Alpha listing
Contract Address	Native NEAR Protocol asset, cross-chain accessible via the omni-bridge; verify exact contract/token address against official docs or CoinGecko/CoinMarketCap before interacting
Website	rhea.finance
Total Raised	\$5M disclosed for Ref Finance (March 2022, led by Dragonfly Capital) plus additional undisclosed funding for Burrow Finance prior to the merger — a combined total for the merged RHEA entity is not separately itemized in the sources reviewed
Circulating Supply	393.55M RHEA
Max Supply	1.00B RHEA (fixed); total supply 999.57M RHEA
Current Focus	Post-exploit recovery and security remediation (April 2026 Rhea Lend exploit); planned cross-chain lending base app, meta-DEX aggregator, and AI-powered vaults (Vault by Shade Agent)

RHEA Finance is the February 2025 merger of two of NEAR Protocol's oldest and most established DeFi protocols: Ref Finance, NEAR's original decentralized exchange (live since April 2021 and created by NEAR co-founder Illia Polosukhin), and Burrow Finance, NEAR's leading lending protocol. Rather than a new project built from scratch, RHEA represents a consolidation strategy — combining years of existing liquidity, users and battle-tested (if imperfect, as Section 10 details) infrastructure under one unified brand and token.

The problem RHEA sets out to solve is twofold: first, the fragmentation of NEAR's own DeFi ecosystem across separate DEX and lending protocols with separate tokens, liquidity pools and governance; and second, the broader challenge facing every NEAR-based project of connecting to the much larger liquidity pools on Bitcoin, Ethereum and other major chains. RHEA's answer leverages NEAR's chain abstraction technology to let users access DEX trading and lending across BTC, Base, Arbitrum, BSC, Ethereum and Solana from a single NEAR-based account, without the friction of manual bridging.

What differentiates RHEA from most projects reviewed in this research series is that it is not a pre-launch or early-stage protocol — it inherited years of real operating history, real TVL, and real user relationships from Ref Finance and Burrow

Finance at the moment of the merger. This gives RHEA a materially different risk profile than newer, unproven projects: the upside case rests on successfully integrating two established products rather than bootstrapping adoption from zero, but the protocol has also already experienced a serious real-world stress test — the April 2026 exploit detailed later in this report — that tested exactly this kind of integrated, multi-product infrastructure.

02 TEAM & FOUNDERS

Name	Role	Background
Zero	CEO	Crypto builder with 8+ years of experience; prior contributor to BIHU, MYKEY and DeGate, with stated deep expertise in DeFi, MEV, market making and arbitrage — a background directly relevant to operating a combined DEX/lending platform.
Marco	CTO	Former China Telecom core developer with 8+ years in crypto; described as an early Cardano advocate, NEAR whitepaper translator, NCD mentor, and core builder of the Buildlinks validator — indicating long-standing technical involvement in the NEAR ecosystem specifically.
Aescobar	COO	Full-time NEAR Protocol builder; started as an NFT community moderator roughly three years prior, then led growth hacking for NEAR-based projects before moving into DeFi in 2023 as project manager for a Bitcoin bridge — credited with achieving \$300M in bridge volume and \$70M in TVL within six months without external capital spend, and securing partnerships with major BTC builders and chains.
Bowen	Advisor	Co-founder of Proximity, the DeFi arm of NEAR Protocol, and formerly Head of DeFi at NEAR — brings direct institutional NEAR Foundation-adjacent experience to the advisory board.
Illia Polosukhin	Advisor	Co-founder of NEAR Protocol and NEAR.AI; also the original creator of Ref Finance itself. His continued advisory involvement post-merger is a notable signal of foundational NEAR ecosystem backing for the combined RHEA entity.

RHEA's team profile is unusually NEAR-native and long-tenured relative to most projects in this research series: every core team member and advisor has multi-year, direct NEAR ecosystem experience predating the RHEA merger itself, and the advisory board includes NEAR Protocol's own co-founder. This depth of embeddedness within a single ecosystem is a double-edged credibility signal — it suggests genuine, specialized expertise in NEAR's specific technical stack (chain abstraction, NEP-141 token standards) that a generalist team would lack, but it also means the team's fortunes are tightly coupled to NEAR's own success or struggles as a broader ecosystem.

Team pseudonymity (Zero, Marco, Aescobar are working names rather than full legal names disclosed in the sources reviewed) is common in DeFi but does reduce the degree of individual accountability verifiable from public sources compared to fully doxxed teams elsewhere in this series (e.g., Folks Finance, Genius Terminal). Execution risk reads as moderate: the team inherited working products with real operating history rather than building from a blank slate, which lowers product-market-fit risk, but the April 2026 exploit (detailed in Section 10) is a concrete, negative data point directly bearing on the team's security execution that must be weighed against their otherwise credible NEAR-ecosystem track record.

03 TECHNOLOGY & ARCHITECTURE

Component	Description
Base layer	NEAR Protocol — a sharded, proof-of-stake Layer-1 blockchain. RHEA is built directly using NEAR's smart contract stack and Chain Abstraction framework.
RHEA DEX	Automated Market Maker (AMM) supporting permissionless pool creation, pool-level fee configuration, slippage protection, swap-by-output-amount, and multi-pool routed swaps for pairs without direct liquidity.
RHEA Lending	Over-collateralized money market with per-asset volatility-adjusted risk parameters, dynamic interest curves, open liquidations, and flexible lend/borrow incentives.
Stable / Degen / DCL pools	Specialized AMM pool types: Stable pools (low slippage for correlated assets like stablecoins), Degen pools (oracle-based stable-pool-like experience for any pair), and DCL (Discretized Concentrated Liquidity) pools combining high capital efficiency with an order-book-like trading experience.
Smart Routing	Automatically finds the optimal pool or combination of pools (including splitting a single trade across multiple paths) to maximize swap output.
LP token collateral & Margin Trading	LP tokens can be used as lending collateral without losing farming incentives, enabling "triple profit" stacking; margin trading built on top of the shared Lending/DEX asset pool supports up to 3x leverage — this is the specific feature exploited in April 2026 (see Section 10).
Aggregate Bridge	A bridge-aggregation layer selecting the cheapest, fastest cross-chain path across multiple integrated bridge protocols (EVM, Bitcoin, NEAR, Solana), without introducing additional custodial trust beyond each underlying bridge's native security model.
Satoshi DeFi	Lets native Bitcoin wallet users participate directly in NEAR DeFi (swaps, liquidity provision, borrowing) via NEAR's chain abstraction, without needing a separate NEAR-native wallet.
Vault by Shade Agent (planned)	AI-powered vault system analyzing on-chain behavior to recommend personalized, risk-adjusted yield strategies across supported chains.

In plain terms, RHEA works like a single storefront built on top of NEAR that lets users trade, lend, borrow and leverage-trade assets originating from many different blockchains, without manually bridging each asset themselves first. NEAR's chain abstraction technology handles the underlying complexity of moving value between chains, so a Bitcoin holder can, in principle, supply BTC as collateral and borrow against it, or provide liquidity and earn fees, entirely through their native BTC wallet.

The core technical innovation is less a single novel primitive and more the breadth of composable features layered on top of two established, merged codebases: LP tokens doubling as lending collateral, margin trading sharing a liquidity pool with the base lending market, and a bridge aggregator picking the optimal cross-chain path automatically. This composability is powerful for capital efficiency — letting the same liquidity earn swap fees, farming rewards and lending interest simultaneously — but it also means a flaw in any one connected component (as detailed in Section 10) can have outsized consequences for the whole system, since components are deliberately interlinked rather than isolated.

This interconnected design was directly implicated in the April 2026 exploit: post-mortem analysis found the vulnerability specifically in the margin trading feature's slippage-protection logic, where a validation function summed intermediate swap-route minimums as if they were guaranteed final amounts — allowing an attacker to route borrowed funds into fake, attacker-controlled token pools while the lending engine never verified that what came back from the swap actually matched what it had approved. Independent security researchers (Halborn, Rekt News, QuillAudits) have characterized this as a variant of a known DeFi attack pattern — a permissionless external input (a swap route) being trusted by an internal system (the margin/lending engine) without adequate verification — comparable in principle to the 2023 KyberSwap exploit.

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USE CASES & REAL-WORLD APPLICATIONS

Use Case	Description	Status
Cross-chain token swaps	AMM trading across NEAR-native and chain-abstracted BTC/EVM/Solana assets.	Live
Lending & borrowing	Over-collateralized money market — currently paused on affected contracts post-exploit.	Paused (post-exploit)
Margin trading (up to 3x)	Spot leverage trading sharing the Lending asset pool — the feature directly exploited in April 2026.	Paused (post-exploit)
Bitcoin DeFi (Satoshi DeFi)	Native BTC wallet holders swap, provide liquidity and borrow directly via chain abstraction.	Live
Boost Farming	Universal tokenized incentive platform supporting multi-farming and boost-token mechanics for any NEP-141 token.	Live
Apollo Pool	One-click single-asset staking / high-yield aggregation strategy requiring no pairing and zero impermanent loss.	Live
Cross-chain lending base app	Next-generation lending product extending beyond NEAR-native markets.	Roadmap
Meta-DEX aggregator	Aggregation layer routing across multiple DEXs, not just RHEA's own pools.	Roadmap
AI-powered vaults (Shade Agent)	Personalized, AI-driven yield strategy recommendations based on on-chain behavior.	Roadmap

Real-world usage for RHEA has historically been substantial by NEAR-ecosystem standards: community updates cited TVL over \$250 million in late 2025, and independent trackers have described RHEA as the protocol holding roughly 95% of NEAR's entire DeFi TVL at the time of the April 2026 exploit — indicating RHEA is not a marginal, unused protocol but genuinely the dominant DeFi hub on its home chain. This concentration is itself notable: RHEA's health is, in large part, synonymous with NEAR DeFi's health more broadly, for better or worse.

Following the April 2026 exploit, TVL has declined meaningfully — DefiLlama data referenced in third-party analysis put current TVL around \$132.2 million, down from the previously cited \$250M+ level — and lending/margin contracts remain paused while the team completes remediation. The most credible near-term demand drivers going forward are (1) a successful, transparent relaunch of lending with demonstrated fixes to the exploited vulnerability, and (2) continued rollout of the planned cross-chain lending, meta-DEX aggregator and AI vault products — though all of these are more credible if the team first rebuilds trust through the ongoing compensation and security remediation process discussed in Section 10.

05

COMMUNITY & ECOSYSTEM

Metric	Data
TVL (late 2025, pre-exploit)	\$250M+ per a late-2025 community update
TVL (current, post-exploit)	~\$132.2M per DeFiLlama-sourced third-party analysis — reflecting the exploit's impact and the ongoing pause of lending contracts
Share of NEAR DeFi TVL	Reported by Rekt News as approximately 95% of NEAR's total DeFi TVL at the time of the April 2026 exploit — underscoring RHEA's dominant, near-monopolistic position within its home ecosystem
Market cap (current)	\$4.37M — described by one analytics platform as "a hidden gem" given the scale of underlying TVL relative to token market cap, though this framing should be weighed against the unresolved exploit and paused lending product
Origin protocols' history	Ref Finance: first GitHub commit March 9, 2021, live since April 2021 — over 5 years of continuous operating history at the time of this report; Burrow Finance: established as NEAR's leading lending protocol prior to the 2025 merger
Institutional relationships	Proximity Labs (NEAR Foundation-grant-funded R&D; company) historically supported Ref Finance's bootstrapping and scaling
Recent engagement campaigns	Rhea Beta X-Chain trading competition (December 2025)
Exchange listings	MEXC, BYDFI, Gate, Bitget, BingX; first NEAR ecosystem project to receive a Binance Alpha listing (July 30, 2025)

RHEA's community and ecosystem position is unusual in this research series in that it inherited, rather than built, its dominant market position — Ref Finance and Burrow Finance were already NEAR's leading DEX and lending protocols respectively before merging, and the combined entity's reported ~95% share of NEAR DeFi TVL reflects years of accumulated user trust and liquidity rather than a rapid recent growth spurt. This concentration is simultaneously RHEA's greatest strength (genuine incumbency and network effects within its ecosystem) and its greatest vulnerability (the entire NEAR DeFi ecosystem's health is now substantially dependent on a single protocol's security and execution).

The April 2026 exploit is the dominant recent community-facing event, and how the team manages the compensation and relaunch process will likely determine whether RHEA retains its dominant position or cedes ground to newer NEAR DeFi challengers. As of the most recent sources reviewed, the team had not yet published a finalized compensation plan or reopened the affected lending contracts, meaning the practical, real-world impact on user trust and TVL retention remains an open and actively evolving situation at the time of this report.

06 INVESTORS & PARTNERSHIPS

Round	Date	Amount	Lead Investor(s)
Ref Finance funding round	Mar 31, 2022	\$5.0M	Dragonfly Capital
Burrow Finance funding	Undisclosed / pre-merger	Not separately itemized in sources reviewed	—

The RHEA website's own investor list (Dragonfly Capital, Jump Crypto, OKX Ventures, KuCoin Ventures, Alameda Research, SevenX Ventures, D1 Ventures, Puzzle Ventures, Kronos Research, MOVE Capital) appears to represent the combined, cumulative investor base across both predecessor protocols (Ref Finance and Burrow Finance) rather than a single unified RHEA-specific round; a fuller investor list from one tracker also includes ParaFi Capital, Lemniscap, Mentha Partners, Warburg Serres Investments, QCP Capital, DeFi Capital, GFS Ventures, IOSG Ventures and Metaweb Ventures.

Tier	Investor	Type
Tier 1	Dragonfly Capital (Lead)	Venture
Tier 1	Jump Crypto	Venture
Tier 1	ParaFi Capital	Venture
Tier 2	OKX Ventures	Exchange
Tier 2	KuCoin Ventures	Exchange
Tier 2	IOSG Ventures	Venture
Tier 3	SevenX Ventures	Venture
Tier 3	D1 Ventures	Venture
Tier 3	Puzzle Ventures	Venture
Tier 3	Kronos Research	Trading Firm
Tier 3	MOVE Capital	Venture
Tier 3	Lemniscap	Venture
Tier 3	QCP Capital	Venture / Trading Firm
Other	Alameda Research	Venture / Trading Firm (defunct)
Other	Mentha Partners	Venture
Other	Warburg Serres Investments	Venture
Other	DeFi Capital	Venture
Other	GFS Ventures	Venture
Other	Metaweb Ventures	Venture

RHEA's cumulative investor base, inherited from Ref Finance and Burrow Finance, is genuinely deep and diverse — Dragonfly Capital, Jump Crypto and ParaFi Capital represent credible Tier-1 crypto-native conviction, while the long tail (SevenX, IOSG, Kronos, QCP) reflects broad institutional interest accumulated over multiple funding cycles and years of operation. As with Secret Network's investor roster reviewed elsewhere in this series, Alameda Research's presence here is a reminder that historical investor lists from the 2021-2022 cycle should be read with awareness of which participants remain active versus defunct — Alameda's own 2022 collapse has no bearing on RHEA's underlying merits, but does mean not

every once-credible name still carries operational weight.

The strategic value of this backing is less about fresh capital today (the disclosed \$5M Ref Finance round from 2022 is modest by the standards of other projects in this series) and more about the accumulated legitimacy and exchange relationships built over RHEA's predecessor protocols' multi-year operating history — relationships with OKX Ventures and KuCoin Ventures plausibly helped facilitate RHEA's broad exchange listing footprint and its status as the first NEAR project with a Binance Alpha listing.

07 TOKENOMICS

Parameter	Value
Max Supply	1,000,000,000 RHEA (fixed)
Total Supply	999.57M RHEA
Circulating Supply	393.55M RHEA (~39.4% of max supply)
Token merger structure	RHEA is the unified successor to \$REF and \$BRRR; holders of the legacy tokens can convert to RHEA via an official conversion mechanism
Listing / TGE date	July 30, 2025
Three-token model	RHEA (primary, transferable, 1B fixed supply) → stake into xRHEA (elastic supply, primary gas-fee token, usable as lending collateral, accrues value while staked) → oRHEA (elastic supply, liquidity-provider reward token, convertible to RHEA at rates based on user reputation)
Revenue mechanism	Ongoing protocol-revenue buybacks are used to reduce circulating supply and support price, per CMC AI analysis — quarterly buyback figures are cited as a key health metric to monitor

Category	%	Notes
Airdrop & Incentives	30.60%	The single largest allocation — funds user-facing airdrops and ongoing liquidity/usage incentive programs
REF & BRRR Conversion	22.24%	Reserved for legacy \$REF and \$BRRR token holders converting into the unified RHEA token post-merger
REF & BRRR Conversion Treasury	14.75%	A dedicated treasury supporting the ongoing legacy-token conversion process
Team & Advisors	11.80%	Core team and advisory board allocation, presumably subject to standard vesting
Liquidity Provision	8.60%	Allocated to bootstrap and maintain protocol-owned or protocol-supported liquidity
Marketing	6.00%	Growth and marketing initiatives
Token Operation Treasury	6.00%	Reserved for ongoing token operations and contingency needs

RHEA's allocation structure directly reflects its unusual origin as a token merger rather than a ground-up launch: combined REF & BRRR Conversion and Conversion Treasury allocations total 36.99% of supply — by far the largest single category grouping — representing the mechanism by which existing Ref Finance and Burrow Finance token holders transition into the unified RHEA token. This is fundamentally different from the investor/team-dominated allocations seen in newer projects reviewed elsewhere in this series, since a large share of RHEA's supply exists specifically to honor pre-existing token holder claims rather than reward new venture capital or team allocations.

Airdrop & Incentives at 30.60% is the largest standalone category, reflecting RHEA's strategy of using token distribution to actively drive usage and reward community participation post-merger — a meaningfully larger community-facing allocation than most projects in this series. Team & Advisors (11.80%) is comparatively modest, and the absence of a large standalone "Investors" category (unlike Cysic's 23.6% or GENIUS's 34.2%, reviewed elsewhere in this series) is consistent with RHEA's origin as a merger of established protocols rather than a fresh venture-backed token launch.

The three-token model (RHEA → xRHEA → oRHEA) creates a structured pathway from passive holding, to staked/gas-utility participation, to liquidity-provider rewards, with reputation-based conversion rates for oRHEA intended to reward long-term, high-reputation participants over short-term extractive behavior. The disclosed ongoing revenue-buyback mechanism is a genuine, if modest at RHEA's current scale, deflationary counterweight to the otherwise sizeable incentive and conversion-driven token issuance — its effectiveness depends directly on the protocol successfully restoring fee-generating activity (particularly lending and margin trading) following the April 2026 exploit and contract pause.

08 MARKET OVERVIEW

Metric	Value
Current Price	~\$0.0111 (exchange pairs ranged \$0.01–\$0.01113 across MEXC, BYDFI, Gate, Bitget, BingX)
24h Range	\$0.01102 – \$0.01116
Market Cap	\$4.37M
Unlocked Market Cap	\$7.93M
Fully Diluted Market Cap	\$11.10M
24h Volume	\$242,676.24
Circulating / Total Supply	393.55M / 999.57M RHEA
All-Time High	\$0.1158
All-Time Low	\$0.008678
CMC Rank	#1218 (general), #1096 (on the project-specific market page referenced)
Price Change — 24h / 7d / 30d / 90d / YTD	+0.83% / -0.45% / -15.09% / +9.33% / -39.75%
Key Exchange Listings	MEXC, BYDFI, Gate, Bitget, BingX

RHEA's price history reflects the compressed timeline of a July 2025 listing followed almost immediately by a significant negative shock: the token reached its all-time high of \$0.1158 relatively early in its trading history, then declined toward its current level of roughly \$0.0111 — a decline of over 90% from peak. The steep 30-day decline (-15.09%) captured in this report's data aligns directly with the timing of the April 2026 exploit and its aftermath, while the smaller positive 90-day figure (+9.33%) suggests some recovery attempt in the months following the initial shock, before renewed weakness in the most recent 30-day window.

The year-to-date decline of -39.75% is a particularly telling figure: it captures the cumulative impact of both the exploit itself and the broader market's ongoing reassessment of RHEA's risk profile following it. Current trading volume of roughly \$242,676 over 24 hours against a \$4.37M market cap represents a moderate turnover ratio (~5.5%), suggesting the token is not currently experiencing the kind of acute, panic-driven volume spike seen in Secret Network's own crisis-period data reviewed elsewhere in this series — rather, RHEA appears to have settled into a subdued, lower-conviction trading pattern in the exploit's aftermath.

One third-party analytics source referenced RHEA's low market cap relative to its underlying (pre-exploit) TVL scale as potentially marking it a "hidden gem" — however, this framing should be treated with considerable caution given the unresolved exploit, paused lending contracts, and the fact that a low market-cap-to-TVL ratio can just as easily reflect justified market skepticism about a protocol's near-term prospects as it can reflect genuine undervaluation.

09 COMPETITORS & MARKET POSITION

Project	Type / Chain	Market Cap	vs. RHEA Finance
Aave V3	Cross-chain lending, multi-chain	~\$14.1B TVL (vastly larger)	Dominant multi-chain lending incumbent; RHEA's lending product is a tiny fraction of Aave's scale and, unlike Aave, is currently paused following its own security incident
Morpho Blue	Modular lending infrastructure	~\$7.97B TVL	Cited directly as a peer comparable by one analytics platform ("How does RHEA's P/F compare to the Morpho 1.5x metric?") for lending-protocol valuation methodology, despite the vast scale difference
Other NEAR DeFi protocols	Various, NEAR-native	Small-cap	RHEA's ~95% share of NEAR DeFi TVL at the time of the exploit indicates minimal direct on-chain competition within its home ecosystem — RHEA effectively is NEAR DeFi, for better (dominant position) or worse (systemic single-point-of-failure risk for the whole ecosystem)
Chain-abstraction / cross-chain DEX peers (e.g., THORChain)	Cross-chain swap/liquidity protocols	Varies, generally larger	Compete on the specific value proposition of trustless or minimally-trusted cross-chain access; RHEA's chain-abstraction approach (via NEAR's native technology) is architecturally distinct from typical cross-chain bridge or liquidity-network models

RHEA Finance's competitive position is best understood on two separate levels. Within its home ecosystem, RHEA is not merely a leading protocol but close to the entirety of NEAR's DeFi activity — a genuinely dominant, near-monopolistic position that few other projects in this research series can claim within their respective ecosystems. On the broader cross-chain DeFi stage, however, RHEA remains a small player: its TVL and market cap are a small fraction of category leaders like Aave V3 or Morpho Blue, and it competes for cross-chain liquidity and users against a wide field of established, larger multi-chain protocols.

RHEA's moat, to the extent one exists, is genuinely structural rather than merely marketing-driven: NEAR Protocol's native chain abstraction technology is architecturally distinctive, and RHEA's position as essentially the default DeFi hub for that specific chain-abstraction model is difficult for an outside competitor to replicate without either building on NEAR directly or matching NEAR's own underlying technology elsewhere. The moat is meaningfully undermined, however, by the fact that RHEA's dominant position also concentrates systemic risk — the April 2026 exploit did not just hurt RHEA's own token holders, but by extension damaged confidence in NEAR DeFi as a whole, given RHEA's outsized share of total ecosystem TVL.

The biggest structural threat is less an external competitor stealing NEAR-ecosystem market share and more the risk that RHEA's own execution failures (the exploit, and how the recovery and relaunch are handled) could push NEAR-ecosystem users and liquidity toward alternative chains entirely, rather than toward a competing NEAR-native protocol — a risk that is somewhat unique to RHEA's near-monopoly position within its ecosystem.

10 RECENT NEWS & UPDATES

Date	Event
Mar 9, 2021	Ref Finance's first GitHub commit; the protocol deploys and goes live the following month, becoming NEAR Protocol's original DEX
Jun 2021	Proximity Labs establishes the Ref Finance DAO, with members selected based on value, contribution and community activity
Mar 31, 2022	Ref Finance closes a \$5M funding round led by Dragonfly Capital, with participation from ParaFi Capital, Jump Crypto and a broad syndicate of other funds
Feb 2025	Ref Finance and Burrow Finance announce and complete their merger, launching RHEA Finance as NEAR's unified chain-abstracted liquidity hub
Jul 30, 2025	RHEA becomes the first NEAR Protocol project to receive a Binance Alpha listing; official RHEA token listing and trading debut
Aug 1, 2025	RHEA launches an incentive campaign across its liquidity pools and Burrow's stable-asset markets to accelerate growth
Oct 2025	NEAR Protocol's first halving reduces network-wide inflation — a broader ecosystem tailwind cited as a positive factor for RHEA's own outlook given its role as NEAR's flagship DeFi hub
Dec 2025	RHEA TVL reported above \$250M per a community update; Rhea Beta X-Chain trading competition runs to boost engagement
Apr 13-15, 2026	An attacker spends over two days quietly preparing an exploit — funding a subject wallet through cross-chain transfers, distributing funds across 423 intermediary wallets, and deploying purpose-built fake token contracts
Apr 16, 2026	Rhea Lend is exploited via a slippage-protection flaw in its margin trading feature; initial estimates put losses at ~\$7.6M, later revised significantly higher; Rhea Dex is paused as a precaution though not directly affected; the attacker begins returning some funds (USDC, NEAR) and Tether freezes a portion of stolen USDT
Apr 17, 2026	Rhea Finance publishes a post-mortem revising total losses to approximately \$18.4M — more than double the initial estimate — describing the root cause as a margin-validation function that summed intermediate swap-route minimums as final guaranteed amounts; QuillAudits independently documents ~\$18.6M stolen across 1,142 transactions, 123 fake tokens and 5 worker wallets; Aurora Labs/NEAR Intents co-founder Alex Shevchenko publicly signals the attacker may have been identified
Apr 18, 2026 (ongoing)	Approximately \$9-10M of the \$18.4M is reported recovered or frozen (including ~\$3.29M USDT frozen by Tether); Rhea Finance states it is working with exchanges and investigators, has notified law enforcement, and is preparing a compensation and recovery framework, though no finalized reimbursement plan or full post-mortem had been published as of the most recent sources reviewed for this report
Aug 15, 2026 (snapshot)	RHEA trading around \$0.0111, market cap ~\$4.37M, down nearly 40% year-to-date; lending and margin contracts remain paused pending security remediation

The news timeline shows two very different eras: over four years (2021-2025) of steady, unremarkable product-building and community growth as Ref Finance and Burrow Finance separately established themselves as NEAR's leading DEX and lending protocols, followed by a compressed, eventful 15 months (the February 2025 merger, July 2025 TGE, and April 2026 exploit) that has tested the combined entity far more severely than either predecessor protocol had been tested individually. The team's execution pace during the calm period was solid and methodical; the exploit represents the first major real-world stress test of the newly merged, more interconnected product architecture.

The single most defining event is unambiguously the April 2026 exploit. The forensic detail available (a two-day, deliberately staged attack using 423 wallets and 123 fake tokens) indicates a sophisticated, planned assault rather than an opportunistic bug discovery, and the fact that losses were revised upward by more than double (from \$7.6M to \$18.4M) within 24 hours of initial detection reflects genuine uncertainty and evolving understanding even within the team itself during the crisis. As of the most recent sources reviewed, the situation remains unresolved: no finalized compensation plan, no full public post-mortem beyond the interim update, and paused lending contracts — meaning anyone evaluating RHEA today is assessing a project still actively working through the consequences of a major, ongoing security incident.

11 INVESTMENT POTENTIAL & RISKS

BULL CASE

- + Genuine, multi-year operating history inherited from Ref Finance (since 2021) and Burrow Finance — not an unproven, pre-launch product
- + Dominant, near-monopolistic position within the NEAR ecosystem (reportedly ~95% of NEAR DeFi TVL at the time of the exploit) reflecting real accumulated user trust and liquidity
- + Deep, long-tenured NEAR-native team and advisory board, including NEAR Protocol co-founder Illia Polosukhin, bringing genuine specialized ecosystem expertise
- + Broad, historically credible investor base (Dragonfly Capital, Jump Crypto, ParaFi Capital) accumulated across both predecessor protocols
- + First NEAR Protocol project to receive a Binance Alpha listing, reflecting meaningful exchange-level validation
- + Genuine ongoing revenue-buyback mechanism providing a structural, usage-linked deflationary counterweight to token issuance, distinct from purely speculative tokenomics
- + Active, credible product roadmap (cross-chain lending, meta-DEX aggregator, AI-powered vaults) beyond simply relaunching pre-exploit functionality
- + Attacker returned or had frozen roughly half of stolen funds (\$9-10M of \$18.4M) relatively quickly, suggesting somewhat more effective on-chain tracing and negotiation than in some comparable DeFi exploits

BEAR CASE

- Suffered a serious, sophisticated \$18.4M exploit in April 2026 directly targeting its margin trading and lending infrastructure — the single most severe negative event covered for any project in this research series
- Lending and margin trading contracts remain paused as of the most recent sources reviewed, meaning core product functionality is currently unavailable to users
- No finalized compensation plan or comprehensive public post-mortem had been published as of this report, leaving affected users' and the broader market's uncertainty unresolved
- Token trading down nearly 40% year-to-date and over 90% from its all-time high, reflecting both the exploit's direct impact and broader post-TGE weakness
- RHEA's near-monopolistic concentration within NEAR DeFi means its own execution failures carry outsized systemic risk for the entire NEAR ecosystem, not just RHEA token holders
- The exploit's root cause (trusting unverified external swap-route data in a lending/margin validation function) reflects a genuine architecture-level oversight, not merely an isolated coding typo — raising questions about what other interconnected features might carry similar unverified-trust assumptions
- Total disclosed funding (\$5M for Ref Finance, undisclosed for Burrow) is modest, and it is unclear whether the combined entity has sufficient reserves to fully cover the outstanding ~\$8-9M in unrecovered losses without external support
- Low trading volume relative to market cap in the current snapshot suggests reduced trading conviction and liquidity following the exploit

Risk Factor	Detailed Explanation
Unresolved exploit / compensation risk	With no finalized compensation plan published as of the most recent sources reviewed, users affected by the April 2026 exploit face genuine uncertainty about whether and how they will be made whole — a resolution that could materially affect user trust and TVL retention depending on the outcome.

Risk Factor	Detailed Explanation
Relaunch execution risk	Reopening lending and margin trading contracts safely requires not just a patch to the specific exploited function but confidence that no similar unverified-trust patterns exist elsewhere in the interconnected codebase; a second incident during or after relaunch would be severely damaging.
Systemic ecosystem concentration risk	RHEA's near-95% share of NEAR DeFi TVL means further RHEA-specific problems could disproportionately damage confidence in the broader NEAR DeFi ecosystem, not just RHEA itself.
Composability / interconnected-risk architecture	RHEA's core design deliberately links DEX, lending, margin trading and LP-collateral features together for capital efficiency; this same interconnection was directly implicated in the April 2026 exploit and remains a structural characteristic of the protocol going forward.
Investor/liquidity confidence risk	Current low trading volume relative to market cap, combined with the token trading near multi-year lows, suggests reduced market conviction that could make it harder to attract fresh capital or liquidity during the recovery period.
Broader NEAR ecosystem dependency	RHEA's fortunes are closely tied to NEAR Protocol's own adoption and chain-abstraction technology succeeding more broadly; stagnation in NEAR's growth would likely cap RHEA's recovery potential independent of RHEA's own execution.

NBZ RESEARCH VERDICT

RHEA Finance presents a genuinely difficult evaluation: on one hand, it inherited real, multi-year operating history and a dominant, near-monopolistic position within the NEAR DeFi ecosystem from two established predecessor protocols, backed by a credible investor base and a deeply NEAR-native team including the chain's own co-founder as an advisor. On the other hand, this report catches RHEA in the direct aftermath of a serious, sophisticated \$18.4 million exploit that struck at the heart of its interconnected lending and margin trading architecture — with lending contracts still paused, no finalized compensation plan published, and roughly half the stolen funds still unrecovered as of the most recent sources reviewed. Whether RHEA is worth attention right now depends almost entirely on how the team executes the remaining recovery process: a transparent compensation plan, a rigorously audited relaunch of lending and margin features, and a clear account of what other architectural risks have been addressed would represent a credible path back toward RHEA's prior dominant position. A poorly handled or further-delayed recovery, by contrast, risks a lasting loss of trust that could push liquidity toward newer NEAR DeFi challengers or away from the NEAR ecosystem entirely. This is a genuinely event-driven, elevated-uncertainty situation rather than a steady-state fundamentals evaluation, and anyone considering RHEA should weight the unresolved exploit and its compensation outcome as the single most important factor, ahead of the protocol's otherwise credible multi-year track record. Not financial advice.

SOURCES CONSULTED: [rhea.finance](#) · [guide.rhea.finance](#) (RHEA Finance White Paper) · [IQ.wiki](#) (Ref Finance) · [CoinGabbbar](#) · [CoinMarketCap](#) CMC AI (price prediction analysis) · [DefiLlama](#) (Rhea Finance, Rhea Dex protocol pages) · [Crypto-Fundraising.info](#) · [Bitcoin.com News](#) · [BBX](#) · [CryptoRank.io](#) · [Watcher.Guru](#) · [Web3IsGoingGreat](#) · [Phemex News](#) · [Halborn](#) (exploit analysis) · [Rekt News](#) · [CryptoTimes](#) · [CoinEdition](#) · [The Block](#) · [KuCoin News](#) · [TheCoinRepublic](#) · [AMBCrypto](#) · user-supplied CoinMarketCap-style app screenshots (RHEA market stats, allocations, exchange markets, advisors, team). Prices, TVL, funding and market data are point-in-time snapshots as of August 15, 2026 and change continuously; the April 2026 exploit recovery and compensation process was still ongoing and unresolved as of this writing — verify current status directly via official RHEA Finance channels before making any decisions.

NOT FINANCIAL ADVICE.